

Accounting and Budgetary Systems for Engineers - INFO7225

MGEN

**Accounting Information System (AIS) and
Business Process Fundamentals (II)**

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The Basics of Financial Accounting

Special topic 1: cash-basis vs. accrual-basis accounting

Special topic 2: merchandising transactions

Special topic 3: accounting for long-term assets

Summary: generally accepted acct. principles (GAAP)



Generally Accepted Accounting Principles (GAAP)

Accounting Information Must Possess the Quality of:

Relevance

- Has the ability to make a difference in the decision-making process

Verifiability

- Others are able to confirm that the information faithfully represents the economic activities of the business

Faithful representation

- Is complete, neutral, and free from error

Timeliness

- Is available to decision makers in time to be useful

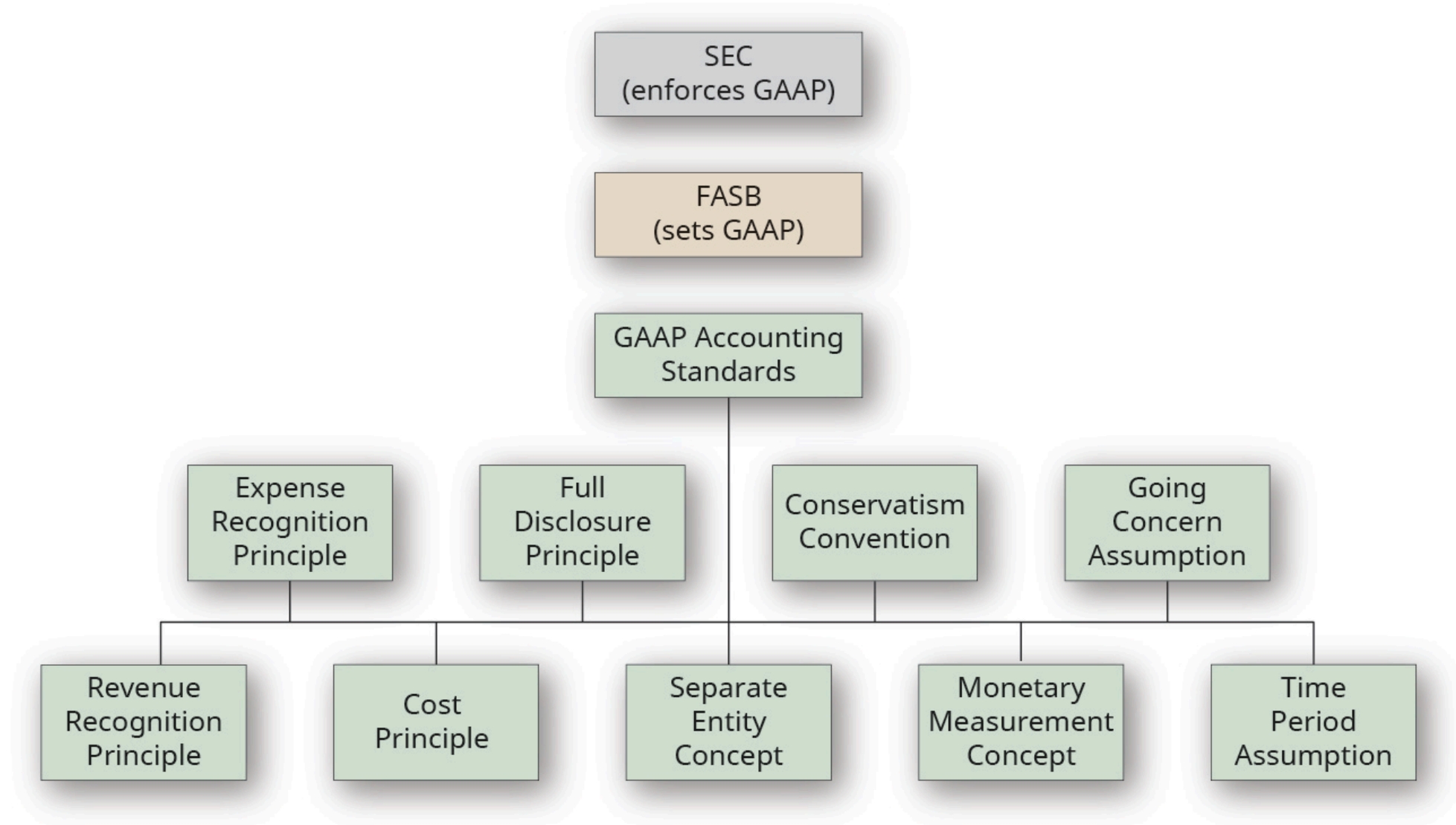
Comparability

- Tells users of the information that businesses utilize similar accounting practices

Understandability

- Is clear and concise

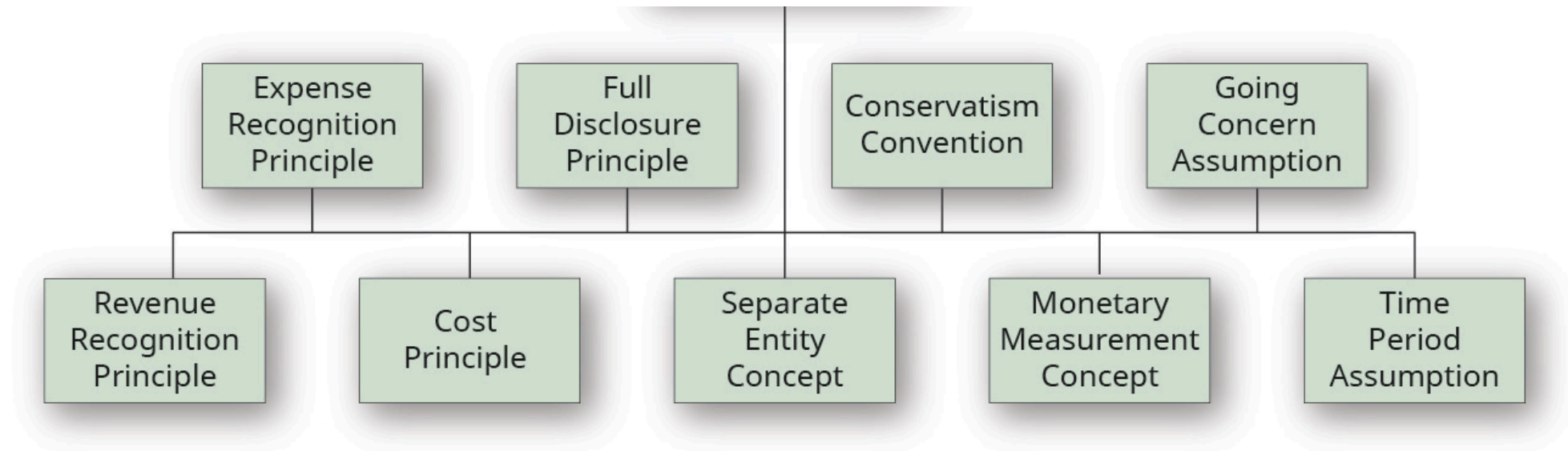
GAAP Accounting Standards Connection Tree



GAAP Accounting Standards Connection Tree

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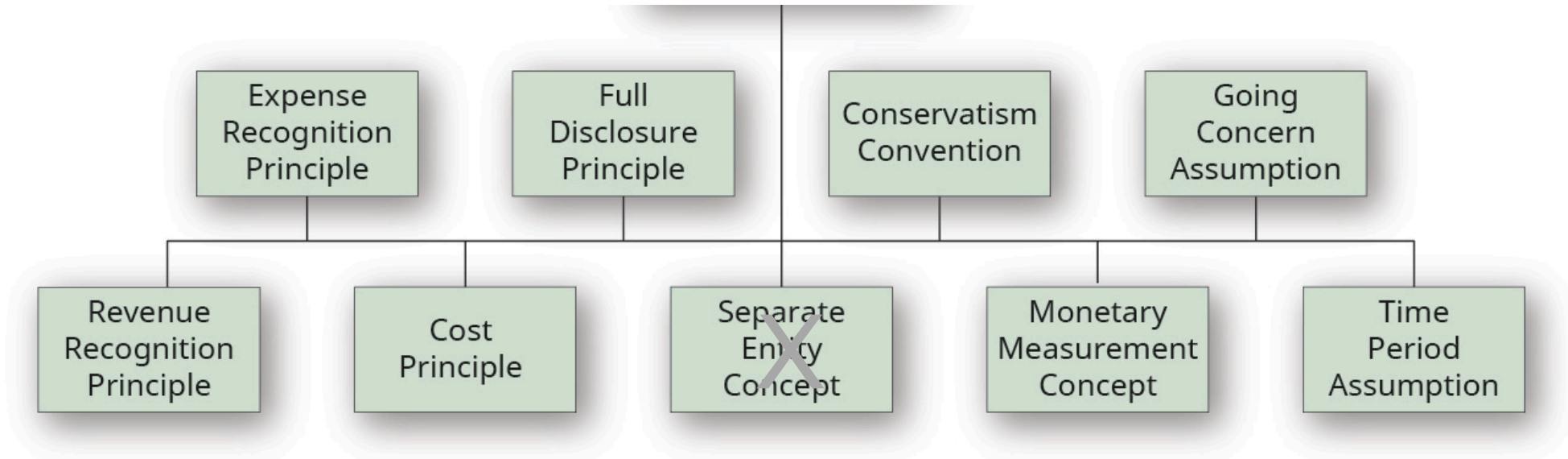
- A business may only report activities on financial statements that are specifically related to company operations, not those activities that affect the owner personally.



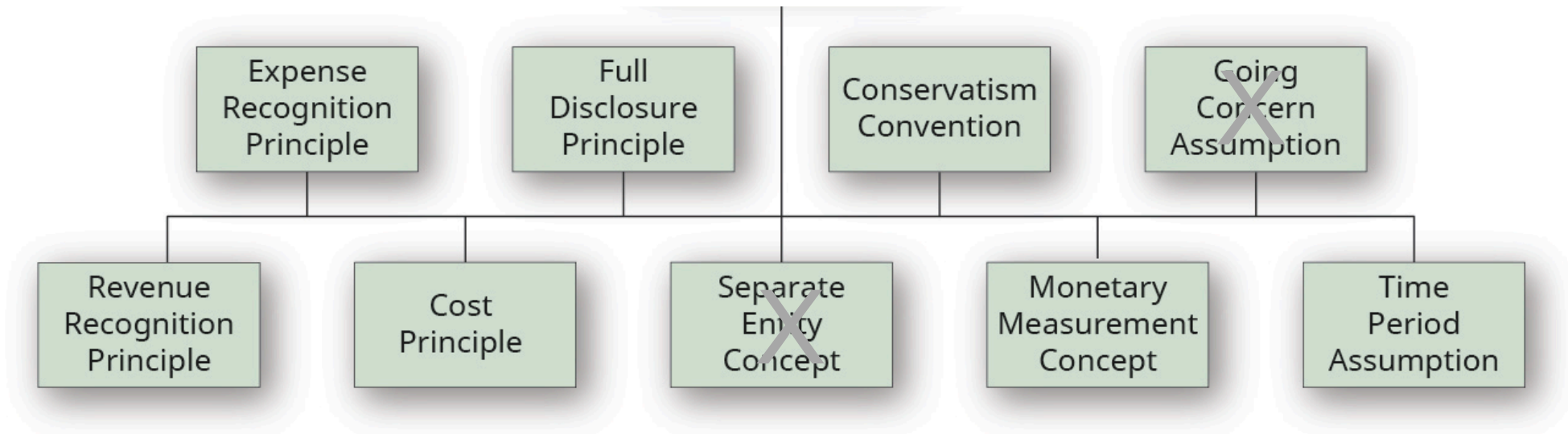
GAAP Accounting Standards Connection Tree

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- Assumes a business will continue to operate in the foreseeable future.
- One should presume the business is doing well enough to continue operations unless there is evidence to the contrary.

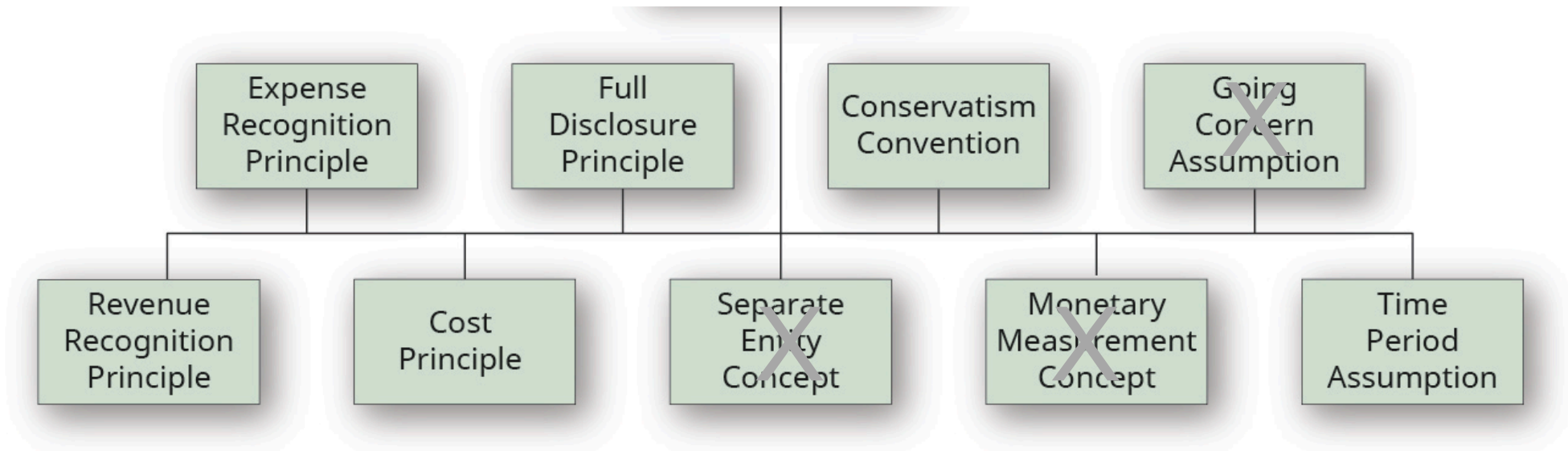


- In order to record a transaction, we need a system of monetary measurement, or a monetary unit by which to value the transaction (USD in the United States).
- Without this system, it would be impossible to record information in the financial records. It also would leave stakeholders unable to make financial decisions, because there is no comparability measurement between companies.
- This concept ignores any change in the purchasing power of the USD due to inflation (nominal units of money).



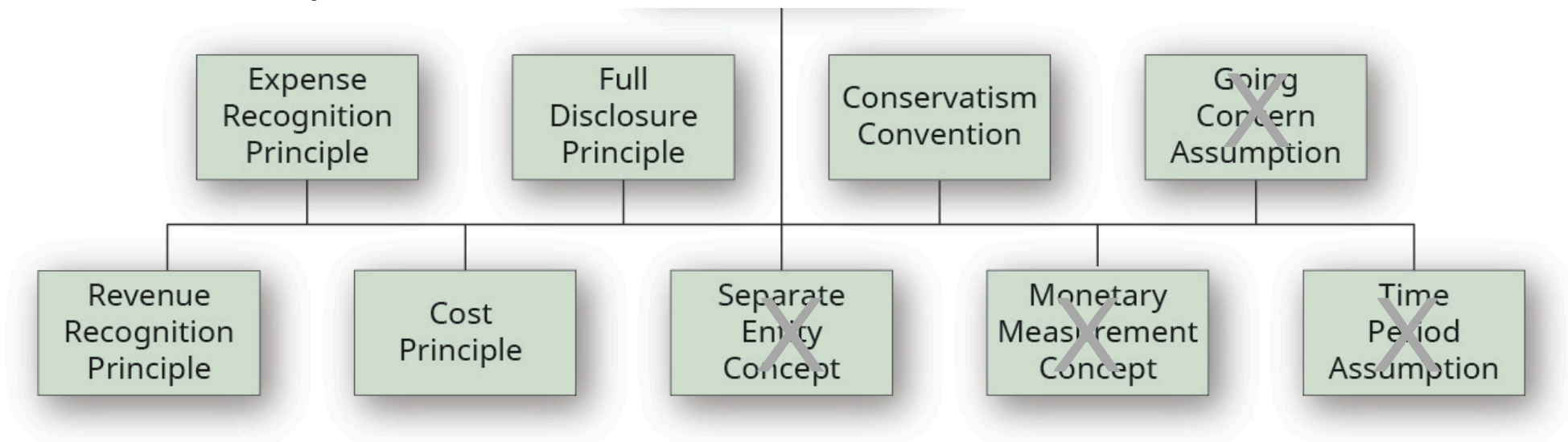
GAAP Accounting Standards Connection Tree

- A company can present useful information in shorter time periods, such as years, quarters, or months.
- The information is broken into time frames to make comparisons and evaluations easier.



GAAP Accounting Standards Connection Tree

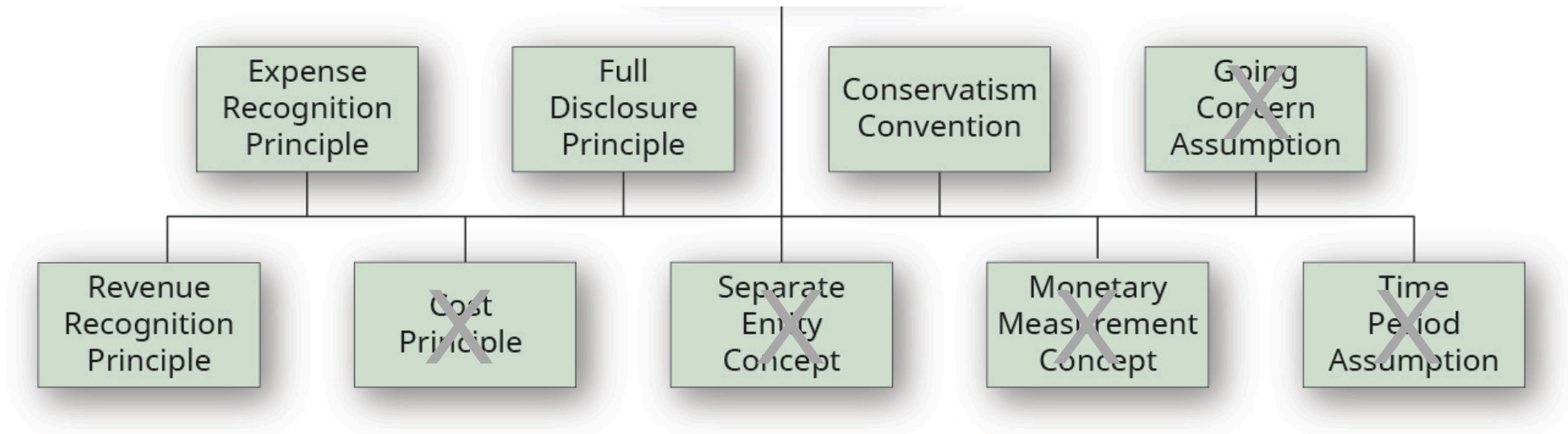
- Everything the company owns or controls (assets) must be recorded at its value at the date of acquisition.
- Exceptions: financial instruments (recorded at their fair market value)



GAAP Accounting Standards Connection Tree

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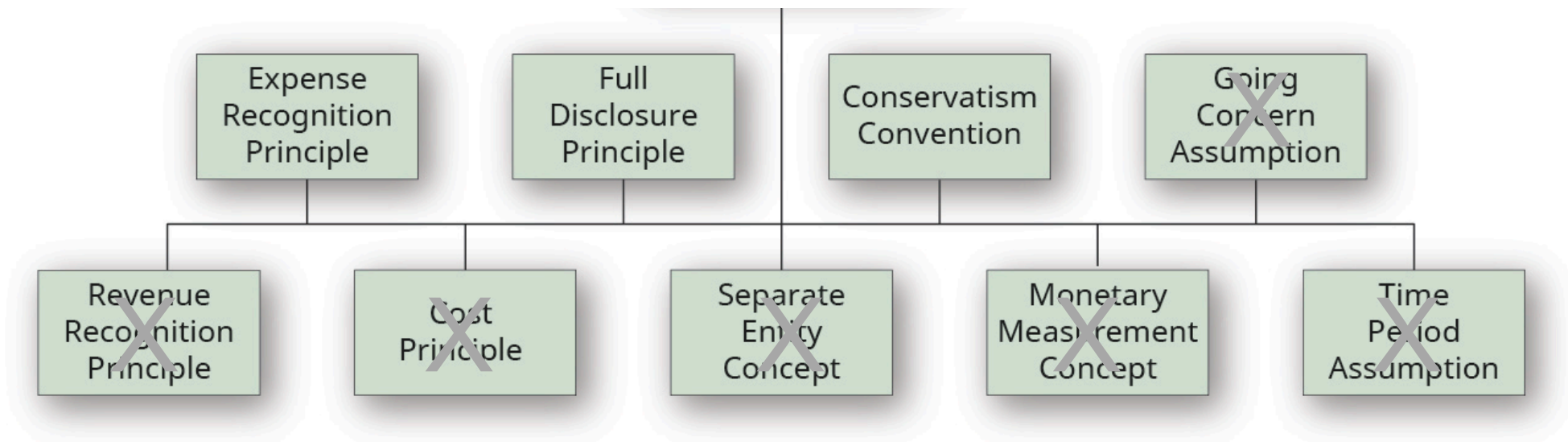
- Directs a company to recognize revenue in the period in which it is earned; revenue is not considered earned until a product or service has been provided.
- This means the period of time in which you performed the service/gave the customer the product is the period in which rev. is recognized.
- No correlation between when cash is collected and when revenue is recognized.



GAAP Accounting Standards Connection Tree

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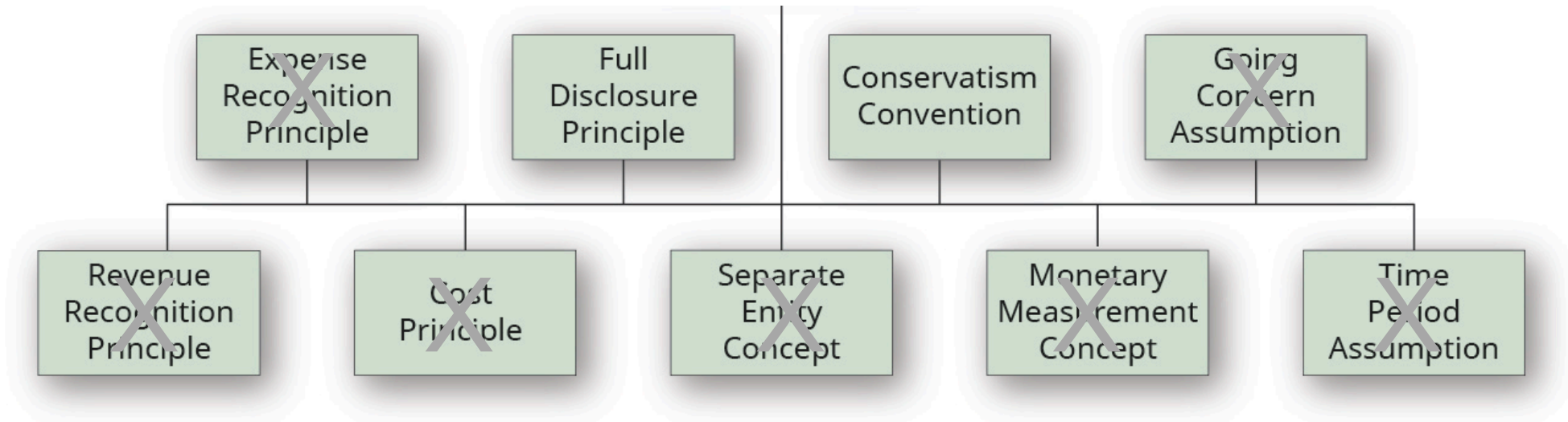
- States that we must match expenses with associated revenues in the period in which the revenues were earned.
- Also referred to as the matching principle.



GAAP Accounting Standards Connection Tree

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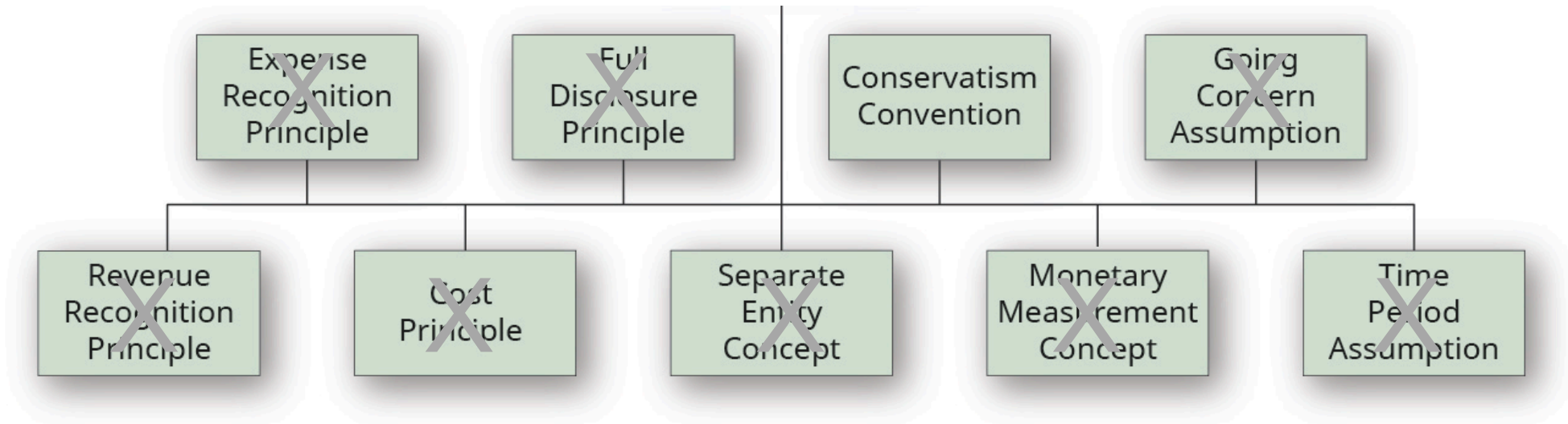
- States that a business must report any business activities that could affect what is reported on the financial statements.
- These activities could be non-financial in nature or be supplemental details not readily available on the main financial statement.
- Usually recorded in footnotes on the statements, or in addenda to the statements.



GAAP Accounting Standards Connection Tree

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- States that if there is uncertainty in a potential financial estimate, a company should err on the side of caution and report the most conservative amount.
- Important when valuing a transaction for which the dollar value cannot be as clearly determined.



WHAT YOU HAVE LEARNED: FINANCIAL ACCOUNTING

- GAAP
- Cash basis vs. accrual basis accounting
- Accounting for merchandizing transactions
- Accounting for long-term/fixed/capital assets
- Accounting records
- Accounting equation
- Analysis of transactions
- Accounting information flow & the accounting cycle

WHAT YOU HAVE LEARNED: FINANCIAL ACCOUNTING

- Accounting information flow & the accounting cycle:
 1. Record of transactions in journals
 2. Post journal entries to ledgers
 3. Prepare unadjusted trial balance
 4. Record & post adjusting journal entries
 5. Prepare an adjusted trial balance
 6. Prepare financial statements
 7. Record & post closing journal entries
 8. Prepare a post-closing trial balance



Questions?